



Starbucks's Strategy: Under CEO Brian Niccol

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October 29, 2025

Strategy and Strategic Objectives

Starbucks's new strategy under new CEO Brian Niccol is to return the company's founding identity as a premium, human-centered coffeehouse that focuses on personalization and experience. After six consecutive quarters of declining same-store sales, rising costs, and growing competition, Starbucks had to react. Customers were becoming impatient with slow, crowded stores, mobile-order chaos, and complicated menus, while internally, baristas were overworked and the culture had drifted away from what once made the cafes feel warm and genuine. Brand loyalty was also weakening due to inconsistent service and political backlash, creating a clear need for change.

From a background of successful turnarounds, Niccol brings a performance-driven approach focused on culture, consistency, and financial discipline. His goal was to simplify operations while restoring the emotional connection that defined Starbucks's early success and differentiation. The new strategy centers on rebuilding hospitality, streamlining stores and processes, and reinvesting in barista training and customer experience. Financially, the company is cutting costs through simplified menus, corporate layoffs and closing underperforming stores then reallocating funds toward improvisation of service and speed.

Overall, Niccol's strategic shift focuses on premiumisation balancing authenticity with efficiency and consciously choosing not to compete with price, but instead on higher quality service. The company aims to strengthen loyalty, rebuild margins, and regain its position as the leading premium coffeehouse brand, reflecting Niccol's philosophy to "do fewer things better" (Haddon, 2024). This repositioning sets the foundation for Starbucks's broader differentiation logic, examined through the Value Stick, Hambrick/Fredrickson's Diamond, Resource-Based View, and Porter's Five Forces frameworks.

Economic Logic

To clarify Starbucks's economic logic, Figure 1 adapts Karp's (2024) Value Stick framework to illustrate how the company creates and captures value. Niccol's differentiation strategy seeks to expand total value created by increasing willingness-to-pay and managing cost. Through training initiatives Starbucks raises the overall value of customer experience. This moves the top of the stick upward, strengthening loyalty and long-term demand without lowering prices. Simultaneously, Niccol's decisions to simplify menus, adopt technology, and drive staff efficiency aim to reduce costs while investing in training and culture to boost engagement and retention, mirroring Southwest's model where a strong culture offsets higher pay demands (Hallowell, 1997).

Applying Hambrick and Fredrickson's (2001) *Five Major Elements of Strategy* framework (Figure 2), Starbucks's economic logic relies on maintaining sustainable premium pricing through efficiency while rationalizing its cost structure. The company's profitability depends on improving service and customer experience. Corporate layoffs and closure of underperforming stores allows financial reallocation of tangible resources towards programs and initiatives that return value back to the organization.

Resources

In terms of its resources, Starbucks is focused on improving its intangibles, consisting of emotional connection, warm environment and superior customer service as seen in Figure 4 (Collis & Montgomery, 2008). Examples of this include the *Green Apron Service* and LATTE framework that strengthen Starbucks's organizational capabilities such as the role of "greeter" in the cafe. The *Green Apron Service Model* trains baristas to be more personal and encourages empathy while LATTE ("Listen, Apologize, Take action, Thank and Ensure satisfaction") has been implemented to ensure standardized service recovery allowing better customer retention.

These systems represent resources that demonstrate inimitability, as the competitors can copy similar procedures but it's the creation of underlying culture that sustains the brand distinction. Durability is being reinforced with continuous training and Starbucks captures value internally. Moreover, technology or automation cannot substitute the genuine human connection that Niccol's strategy emphasizes giving the organization competitive superiority.

Competitive Positioning

Adding on, Figure 3 uses Porter's Five Forces (2007) to show Starbucks's competitive positioning which focuses on differentiation. While customer bargaining power is high due to low-cost competitors, personalization and experience increases switching costs and brand loyalty. Supplier power is moderate but declining through the menu simplification decreasing the amount of different suppliers. Rivalry is high and increasing, but reframing competition around experience allows Starbucks to compete on hospitality rather than price or speed. Similarly, the threat of substitutes from at-home-coffee and ready-to-drink options is being defended by Starbucks's "third" place experience.

HR Strategy

Keeping these underlying assumptions in mind, the CHRO should focus on aligning culture around service and engagement in order to translate Niccol's differentiation strategy into daily behavior across the organization. The HR strategy should be built around three key pillars:

First, talent development and capability building are essential to strengthen the training strategy. Through a program of continuous skill development and thorough onboarding, regular refreshers should be established that embed empathy, active listening and

the LATTE training method (Haddon, 2025b). This will ensure that hospitality becomes a consistent competitive advantage across stores.

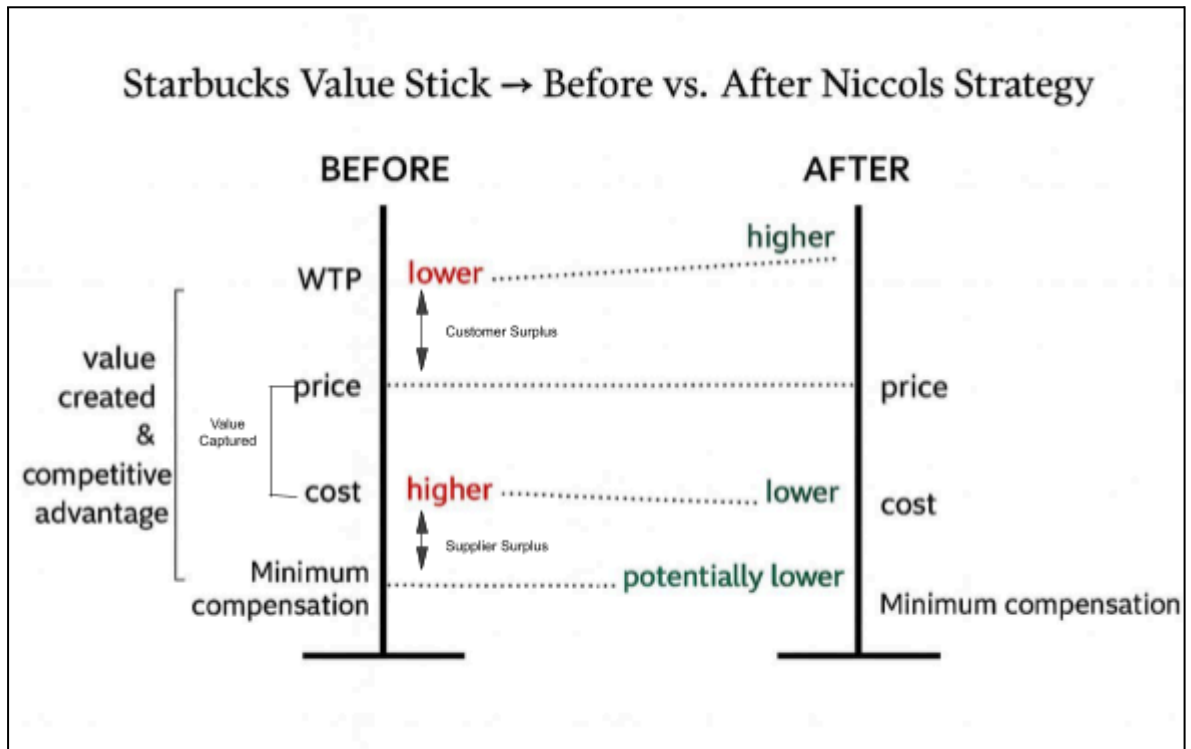
Second, performance and engagement alignment should include restructured incentive systems that reward both speed and service quality. While unsure of KPI's currently being tracked, the HR function should record operational efficiency through order accuracy and average service time. Additionally, customer experience indicators should be tracked including satisfaction scores, Net Promoter Score and random spot checks of ratings from shoppers that assess warmth and personalization. This data should be reviewed through monthly dashboards to analyze correlations and identify performance patterns to create an informed recognition program. Furthermore, individual recognition can be a key motivator without adding increased costs for the organization. Top-performing baristas acknowledged through customer feedback and peer nominations could earn symbolic rewards like internal recognition for exceptional service to reinforce the culture of high-quality hospitality.

Lastly, organizational culture and communication must play a central role in rebuilding trust after extensive layoffs and store closures by promoting transparent communication, leadership visibility, and shared purpose. Starbucks should establish a two-way communication system that provides real-time digital feedback channels so that employees feel heard and informed. It is HR's job to stress leadership visibility and authenticity through store visits and embedding trust-building behaviors into manager training and evaluation sustains the new culture from top down.

Under Nicoll's leadership, the readjusting of strategic priorities to transition from operational complexity back to its roots of customer-centric service and "third-place" experience will allow Starbucks to sustain long-term competitive advantage.

Figure 1

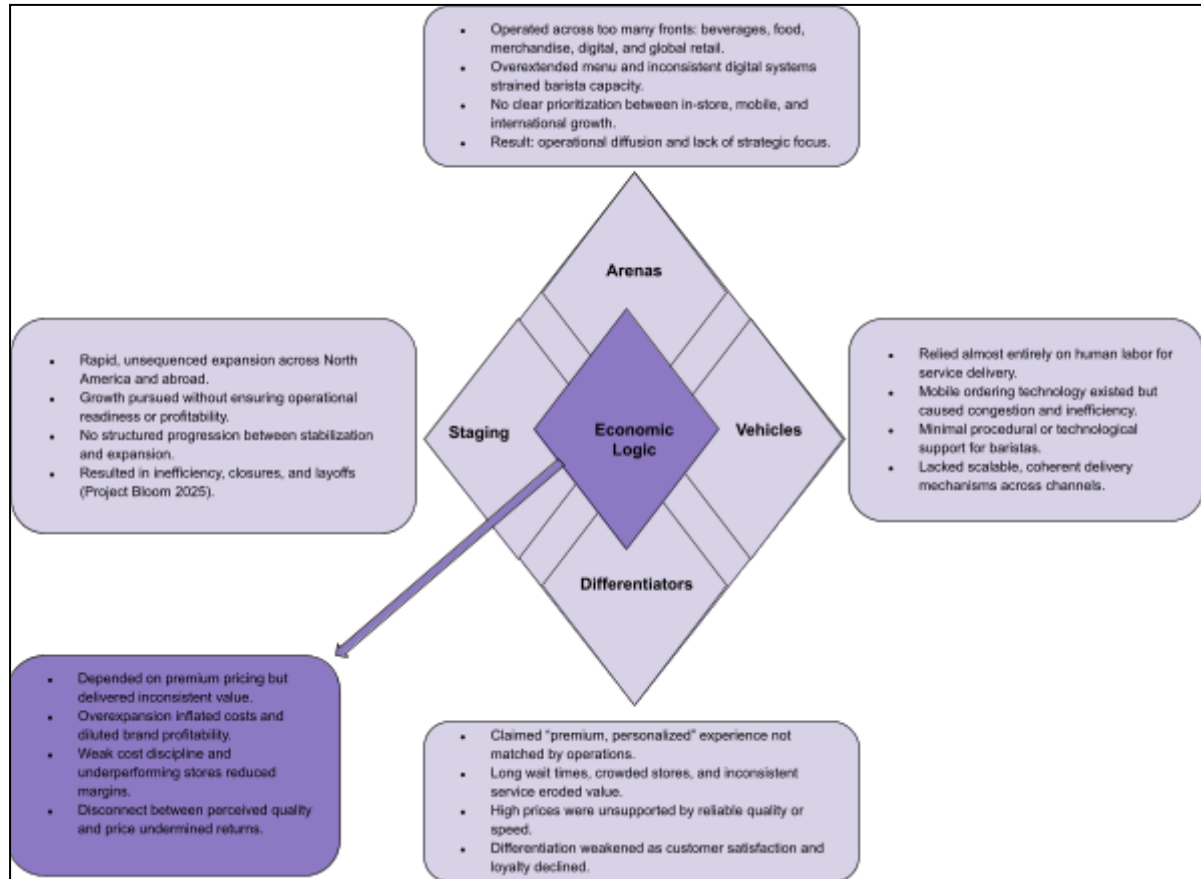
Starbucks Value Stick (Adapted from Karp, 2024)



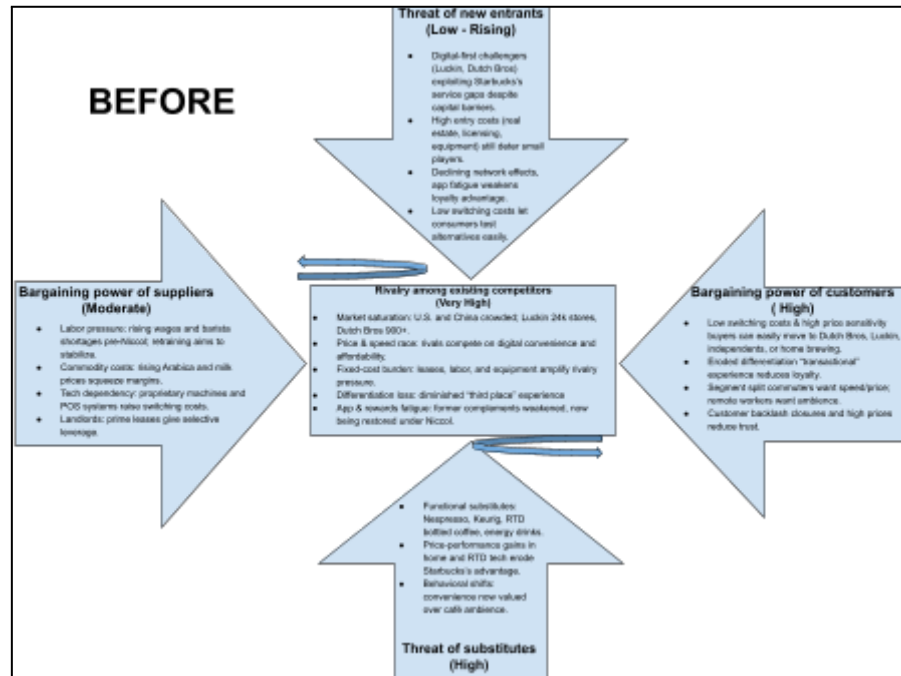
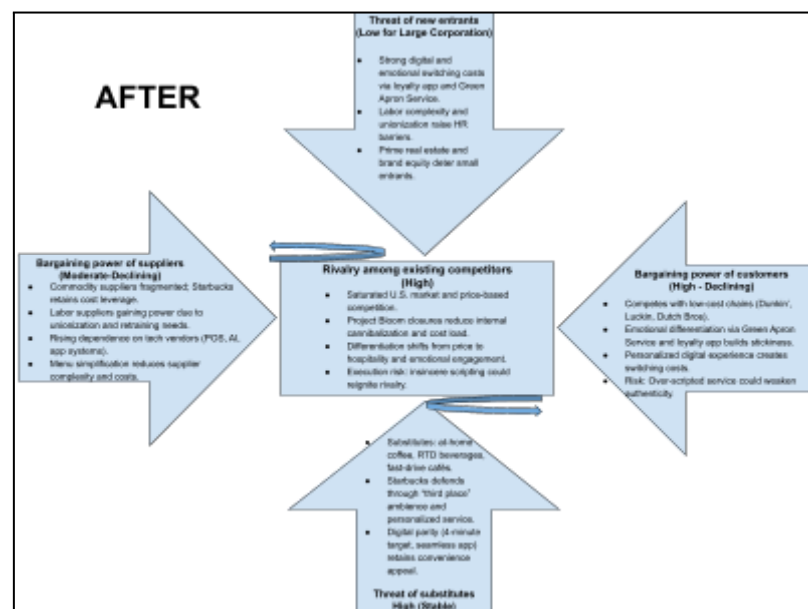
Note: Illustration showing how Niccol's strategy captures and creates value as well as addressing competitive advantage.

Figure 2

Starbucks Strategy Diamond Before and After Niccol (Adapted from Hambrick & Fredrickson, 2001)



Note: Model depicting Starbucks strategy before and after the arrival of Niccol in the five areas: arenas, staging, vehicles, differentiators and economic logic.

Figure 3*Starbucks Five Force Analysis (Adapted from Porter, 2007)**Forces that Shape competition in an industry - Before Niccol's strategy**Forces that Shape competition in an industry - After Niccol's strategy*

Note: Model depicting Starbucks's industry structure using Porter's Five Forces framework to analyze competitive pressures and sources of profitability.

Figure 4

Resource Based View (Adapted from Collis & Montgomery , 2008)

Resource Type	Key Resource	Competitive Advantage (Post-2024)
Tangible	Store Layout & Café Design	Focus on “third place” experience through seating redesign which in turn increases in-store satisfaction and reduces congestion.
	Technology & Order Sequencing Systems	Shortened beverage handoff times (≈4 minutes); improved digital-to-human flow and drive-through efficiency.
	Optimized Store Portfolio (Project Bloom)	Capital reallocated to profitable cafés; reduced corporate overhead; improved resource utilization.
Intangible	Brand Re-Centering & Narrative	Renewed emotional connection around café warmth and belonging; “Get back to Starbucks” repositioning strengthened brand authenticity.
	Green Apron Service Ethos	Codified service behaviors (eye contact, name use, LATTE script); standardizes warmth while preserving authenticity.
	Leadership Credibility (Niccol & Grams)	Restored confidence among investors and employees through clear, people-first operational strategy.
Capabilities	Operational Excellence & Training System	200,000+ baristas trained in empathy and efficiency; consistent “hospitality as a system” performance across cafés.
	Cultural Codification & Change Management	Balanced layoffs and reinvestment; sustained morale while improving agility and focus.
	Hybrid Service Integration (Digital + Human)	Seamless digital ordering paired with personalized service; distinct from app-only or artisanal competitors.

Note: Model depicting Starbucks’s Strategic resources: Tangible, Intangible and Capabilities.

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